

LAS VEGAS INDUSTRIAL

Las Vegas continues to attract industrial users due to its favorable business climate.

Nevada's tax structure, no corporate or personal income tax, combined with over \$150M in recent incentive deals, makes it a cost-effective location for both logistics and manufacturing operations. The region also benefits from a growing labor pool, with warehouse employment projected to grow nearly 14% by 2033 and on a regional basis, wages remain highly competitive.

Strategically located, Las Vegas offers one-day truck access to over 64M consumers via I-15 and US-95, making it a key logistics hub for the Western U.S. Infrastructure investments, including a \$250M water recycling project in North Las Vegas, are enhancing long-term reliability for industrial users.

The Las Vegas industrial real estate market is navigating a period of recalibration following a historic development cycle. Year-to-date deliveries totaled 6.9M SF, putting it on pace to finish the year lower than last year's record figure of 16.0M SF but already higher than the 5-year average of 6.8M SF between 2019-2023. As expected with the high volume of activity, both new construction starts and under construction levels have decelerated as 5.4M SF is currently under construction.

As of Q3 2025, the market-wide vacancy rate rose to 10.5%, an increase of 270 bps year-over-year, driven by significant new supply. Despite this upward trend, leasing activity remained strong, totaling 2.8M SF during the quarter, bringing the year-to-date total to 8.6M SF. Net absorption was positive at 440K SF in Q3 2025, pushing year-to-date absorption above 2.0M SF. Meanwhile, average asking rents held steady, averaging between \$1.10 and \$1.11 PSF over the past four quarters.

While elevated vacancy rates and tighter lending conditions present short-term challenges, the market is showing signs of stabilization. Over 90% of new deliveries in Q3 were pre-leased, and developers are beginning to scale back speculative construction. With continued population growth, strong absorption, and a favorable economic environment, Las Vegas is well-positioned to remain a leading industrial market in the Southwest.

Market Summary

	3Q25	2Q25	3Q24
Vacancy Rate	10.5%	10.3%	7.8%
Asking Lease Rate	\$1.11	\$1.10	\$1.15
Average Sales Price/SF	\$247	\$183	\$200
Under Construction	5,384,338	7,362,902	10,165,294
	3Q25	YTD 2025	YTD 2024
Net Absorption	439,153	2,020,491	2,846,277
Leasing Activity	2,791,847	8,638,624	6,648,361
New Deliveries	2,072,711	6,892,501	12,354,492

3Q 2025

↑ 2.8M SF
LEASING ACTIVITY

↓ 439K SF
NET ABSORPTION

↑ 10.5%
VACANCY RATE

↓ \$1.11
ASKING RENT (AVG)

↓ 2.1M SF
NEW DELIVERIES

Year-Over-Year Trend

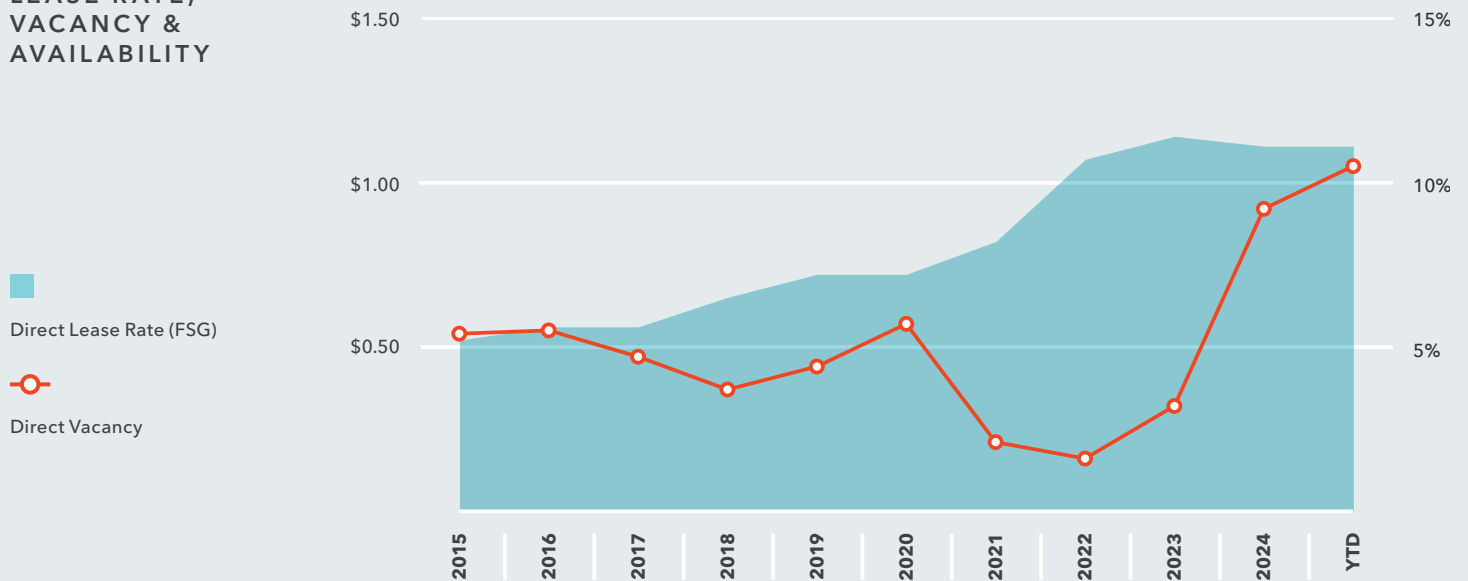
Market Highlights

VACANCY RATES ended the quarter at 10.5%, an increase of 20 bps from last quarter

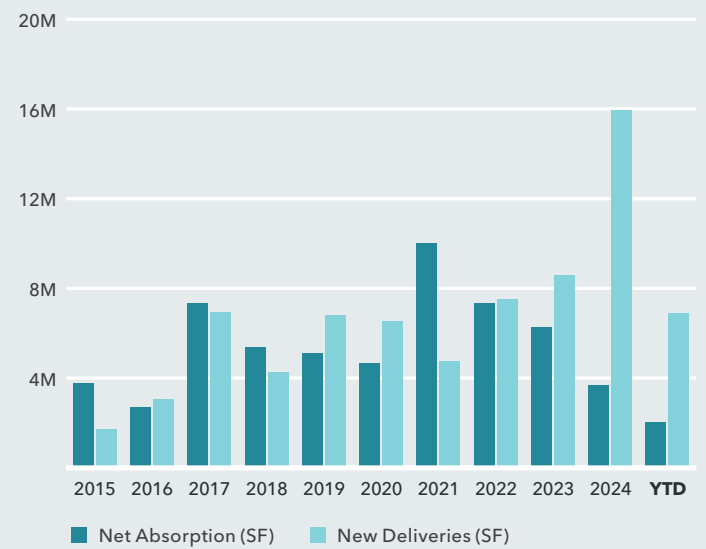
AVERAGE ASKING RATES rose from \$1.10 last quarter to \$1.11 NNN

DELIVERIES totaled 2.1M SF in 3Q 2025, with 5.4M SF currently under construction

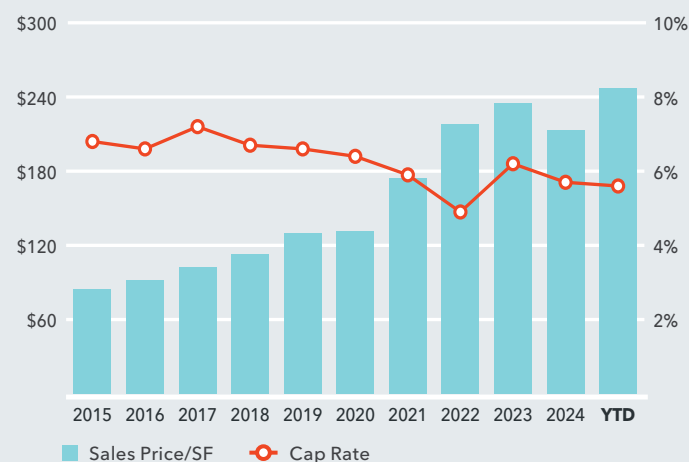
LEASE RATE, VACANCY & AVAILABILITY



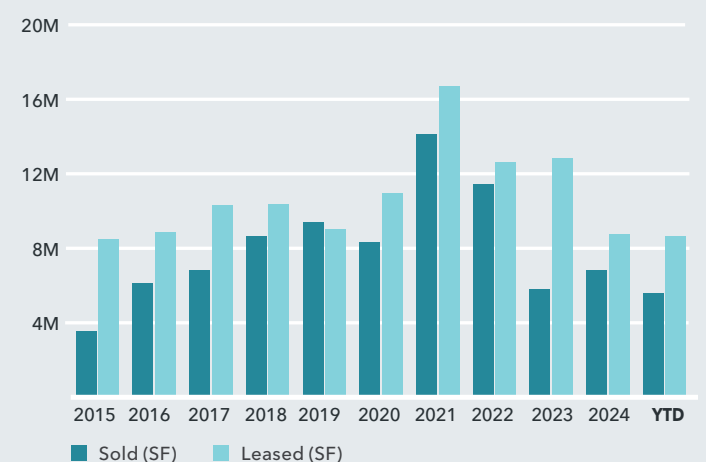
NET ABSORPTION & NEW DELIVERIES



AVERAGE SALES PRICE/SF & CAP RATE



SALE VOLUME & LEASING ACTIVITY



SUBMARKET STATISTICS

Submarket	Total Inventory	Total Vacancy Rate	Total Availability Rate	3Q25 Total Net Absorption	YTD Total Net Absorption	Average Asking Lease Rate (NNN)
Airport/East	14,093,872	5.5%	8.0%	(57,243)	32,291	\$1.24
Apex/Northeast	6,466,171	59.4%	65.4%	0	200,000	\$0.85
Central	7,546,912	3.2%	3.9%	(106,913)	(96,239)	\$1.24
Henderson/Southeast	24,868,986	11.0%	11.8%	(43,197)	(52,512)	\$1.22
North/Northwest	76,320,259	11.7%	14.0%	411,316	1,142,368	\$1.02
Southwest/West	50,235,383	5.3%	7.7%	235,190	794,583	\$1.30
Submarket Total	179,531,583	10.5%	12.6%	439,153	2,020,491	\$1.11

BIGGEST LEASE OF THE QUARTER

Cheyenne Industrial Park



SIGNIFICANT SALE TRANSACTIONS 3Q 2025

Property	Submarket	SF	Sale Price	\$/SF	Buyer	Seller
8451 W Badura Ave	SW Las Vegas	82,094	\$25,859,610	\$315	Intermountain Healthcare	Phelan Development Company
3130 N Lamb Blvd	North Las Vegas	104,440	\$23,500,000	\$225	LC Industries	Rockefeller Group
12200 Bermuda Rd	SE LV/Henderson	85,947	\$20,330,000	\$237	RCG Group	Strongbox Development Company

SIGNIFICANT LEASE TRANSACTIONS 3Q 2025

Property	Submarket	SF	Transaction Date	Tenant
3310 North Commerce St	North Las Vegas	337,008	August 2025	Findlay Machine & Tool
5210 East Carey Ave	North Las Vegas	228,760	August 2025	Welspun USA
4900 Engineers Way	North Las Vegas	82,190	July 2025	Sofidel America Corp

SIGNIFICANT UNDER CONSTRUCTION

Property	Submarket	SF	Delivery Date
2055 Via Inspirado	Henderson	2,400,000	4Q 2026
Peak Distribution Center	Apex	794,749	1Q 2026
Southern Gateway at I-15	Henderson	420,000	4Q 2025

SIGNIFICANT DELIVERIES 3Q 2025

Property	Submarket	SF	Type
Prologis North Belt	North Las Vegas	669,975	Warehouse
Moonwater West	Apex	525,548	Warehouse
Phelan Commerce Center	Southwest	443,266	Warehouse

Data Source: EDD, CoStar



Kidder Mathews is the largest fully independent commercial real estate firm in the Western U.S., with over 900 real estate professionals and staff in 19 offices in Washington, Oregon, California, Nevada, and Arizona. We offer a complete range of brokerage, appraisal, asset services, consulting, and debt & equity finance services for all property types.

The information in this report was composed by the Kidder Mathews Research Group.

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COMMERCIAL
BROKERAGE

\$9B

AVERAGE ANNUAL
TRANSACTION VOLUME

26.2M

ANNUAL
SALES SF

36.7M

ANNUAL
LEASING SFASSET
SERVICES

53M SF

MANAGEMENT
PORTFOLIO SIZE

800+

ASSETS UNDER
MANAGEMENT

250+

CLIENTS
SERVEDVALUATION
ADVISORY

2,400+

AVERAGE ANNUAL
ASSIGNMENTS

41

TOTAL
APPRAISERS

23

WITH MAI
DESIGNATIONS